

Company Overview

Infosys Ltd provides consulting, technology, outsourcing and next-generation digital services to enable clients to execute strategies for their digital transformation

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	17.1%	29.8%	0.09	87.5	1.13	20117.0
2023	16.4%	32.0%	0.11	133.2	1.18	21396.0
2022	18.2%	29.4%	0.07	168.9	1.04	17400.0
2021	19.3%	25.4%	0.07	154.3	0.93	15851.0
2020	18.3%	25.4%	0.07	147.5	0.99	16672.0
2019	18.6%	23.7%	0.00	nan	0.98	14209.0
2018	22.7%	24.7%	0.00	nan	0.89	17751.0
2017	21.0%	20.8%	0.00	nan	0.82	-3133.0
2016	21.6%	21.8%	0.00	nan	0.83	9143.0
2015	23.2%	24.4%	0.00	1526.1	0.80	9352.0

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Qualitative Investment Insights

Strengths (Pros):

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Very high interest coverage ratio reflects negligible financial stress from debt servicing

Risks & Concerns (Cons):

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility